8 INTEREST RATE RISK POLICIES

8.1.1 Policy Statement

Our philosophy is prudent interest rate risk management. Therefore, risk/return tradeoffs of all investments, including loans, cash and securities are evaluated relative to our ability to sustain appropriate levels of risk. In keeping with this philosophy, the primary objective of the Bank in the area of interest rate risk management is maintaining a balance sheet mix that performs appropriately in any interest rate environment.

Interest Rate Risk (IRR) is defined as the sensitivity of the institution's market net worth, net interest income, and net asset and liability market values to changes in interest rates. The IRR management of the Bank focuses on the protection of earnings and market value within a range of possible interest rate environments.

This policy incorporates the Interagency Advisory on Interest Rate Risk (IRR) Management issued on January 6, 2010.IRR management strategies, measurement, and monitoring will focus on changes in Net Present Value (EVE) and the EVE Ratio resulting from interest rate fluctuations as well as changes to Net Interest Income (NII) and the impact that changes to interest rates may have on earnings and ultimately capital.

The Board recognizes that IRR management must be considered within the larger context of business planning and cannot be conducted in isolation from other business considerations, such as credit and liquidity risk. However, the purpose of this policy statement is to define the maximum potential reduction capital that the Board is prepared to accept as the result of possible changes in market interest rates.

8.1.2 IRR Exposure Limits

The limits for percentage changes in Economic Value of Equity (EVE) are established within an appropriate range to allow for an adequate return on assets and return on equity. The Board recognizes the risk associated with significant changes in EVE, and has viewed this in relation to the Bank's Net Interest Income (NII) and intent to generate revenue over the life of each asset or asset class. Board IRR exposure limits are reviewed and adjusted as necessary.

Limits defining the minimum EVE Ratio for the various shocked rate scenarios are established. The EVE ratio is the calculation of net worth percentage using the market value equity and the market value of assets, before and after interest rate shocks are applied to assets and liabilities.

The following permissible percentage changes in EVE and the minimum EVE Ratio are prudent in view of the institution's current capital.

Economic Value of Equity (EVE) Exposure Limits

Change in Interest Rates (in basis points)	Permissible Change EVE From Flat	Minimum EVE Ratio
+300	-40%	6%
+200	-30%	8%
+100	-20%	10%
0	0	11%
-100	-20%	10%
-200	-30%	8%
-300	-40%	6%

These exposure limits are based on the following assumptions:

Parallel shifts in the term structure of interest rates,Instantaneous and sustained changes in interest rates + 100, +200, and +300 basis points.Measurement is compared with the levels of EVE calculated at current rates.
The EVE Ratio for each rate shock is established.

8.1.3 Net Interest Income

The Bank evaluates the Interest Rate Risk to Net Interest Income (NII) by evaluating several rate scenarios, including severe ones. On a quarterly basis, actual NII is compared to budget. If there is a significant variance from budget, or the surrounding interest rate environment is significantly different than that projected within the budget, further budgetary analysis is performed based on the Bank's position and revised rate scenario.

Net Interest Income Exposure Limits

Change in Interest Rates (in basis points)	Permissible Change Net Interest Income
+300	-5%
+200	-4%
+100	-3%
0	0
-100	-3%
-200	-4%
-300	-5%

8.1.4 Trading Activities, Use of Derivatives, Synthetic Instruments and Hedging Activities

The Board understands that a variety of techniques can be used to manage and control IRR. However, use of derivatives, synthetic instruments, and nonspecific hedging activities are not considered within the scope of viable IRR management strategies for the Bank at this time. If the use of such strategies becomes appropriate, the Board will prescribe specific authorizations and restrictions for these activities to meet all relevant OCC and FFIEC regulations.

8.2 <u>“CAMELS” IRR Component</u>

Examiners consider all pertinent facts in their IRR analysis of the Bank. However, they usually consider limits of a bank imprudent if they result in the "S" (Sensitivity) component rating for CAMELS to be 3 or higher. The Bank expects that the management of the Balance Sheet will result in a minimal or moderate level of IRR.

<u>IRR Management and Methodology</u>

The Bank intends to comply with the investment policies and IRR strategies outlined in its Business Plan. The Bank manages its assets and liabilities with the objective of maintaining a prudent asset-liability funding gap and EVE. When applicable, fixed rate mortgages are underwritten for sale in the secondary market. As part of the secondary marketing function, the mortgage pipeline may be hedged to control IRR. Acceptable hedge vehicles are loan or security sales and over-the-counter options. Hedging with similar mortgage instruments is acceptable. The use of futures for hedging is prohibited.

8.3 <u>Responsibility for IRR Management</u>

The Board delegates responsibility for IRR management to the institution’s Asset/Liability Management Committee, established to develop and monitor strategies for dealing with IRR issues.

Permanent Members of Asset Liability Management Committee are:

- President/Chief Executive Officer
- EVP/Chief Financial Officer
- EVP/Chief Credit Officer
- SVP/Retail Banking
- And the
- And their designees typically include the controller, lenders, retail managers, operations and marketing.

Asset Liability Management Committee is responsible for structuring the institution’s balance sheet (and off-balance sheet transactions) consistent with the Board’s prescribed IRR exposure limits. This objective is accomplished through:

- Development and execution of an IRR management strategy.
- Establishment and maintenance of limits and controls.
- Establishment and use of IRR measurement tools.

The Asset Liability Management Committee ensures that the institution's IRR management strategy is consistent with other objectives and strategies set forth in the Bank's Business Plan.

8.4 Review of IRR Management

The ALCO reports to the Board at least quarterly on compliance with the established exposure limits. At such time, interest rate sensitivity analysis is provided, showing the institution's current position, compliance with policy limits, and changes in Net Interest Income, EVE and the EVE Ratio resulting from interest rate shocks specified in the Board policy. Assumptions underlying the interest rate sensitivity analysis should be fully documented and reasonableness justified. The analysis also should provide a discussion of any variance in actual net interest margin from projections for the period.

If the Bank is in non-compliance with the exposure limits due to an extraordinary change in interest rates, ALCO will advise the Board of the occurrence no later than their next scheduled meeting. The Board will also be provided with a plan that defines how management will work to get the bank back into the compliance with policy.

The purpose of the quarterly review of interest rate sensitivity is to allow the Board to regularly evaluate the institution's current and projected interest rate exposure, and to revise or refine any relevant operating guidelines and/or strategies previously approved by the Board.

8.5 Revision of IRR Limits

The Board of Directors re-evaluates the appropriateness of the institution's interest rate risk limits annually, or following any significant change in market interest rates. Any revision of IRR limits receives careful consideration and is documented in the minutes of the Board meeting.

If the institution's level of risk at any given quarter end violates the Board limits, that fact is recorded in the minutes of the Board meeting, along with management's explanation for that occurrence. IMPORTANT: The Board limits should not permit the IRR and EVE to reach such a level that the post-shock EVE ratio and sensitivity measure would suggest an "S" component rating of "3" or worse. If such a scenario should occur, management and the Board will establish a plan to return sensitivity levels to a status that would achieve a "2" rating.

8.6 Flexibility of Management Practices:

The Board recognizes that no policy can anticipate all the situations, conditions, and opportunities which may arise in the normal course of operations. The Asset/Liability Management Committee, therefore, is empowered to exercise prudent judgment in the implementation of this policy. Any deviations from the guidelines expressed in this policy are documented and reported promptly to the Board of Directors at its next regularly scheduled meeting.